

Export Credit Agencies: An Underused Tool for French Competitiveness

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Like most countries in the world, France has a public agency, Bpifrance Assurance Export (BPI-AE), that helps finance exports. Comparable to other OECD institutions in its mandate, its governance, and its performance, BPI-AE stands out for one thing: its modest size, with a financing gap relative to other developed countries that has kept widening for fifteen years. This timidity in French financing is all the more regrettable because export credit agencies (ECAs) are a powerful lever for economic growth. An analysis of the U.S. case shows that each dollar of export-credit support generates roughly \$4.50 in additional exports, allowing productive, financially constrained firms to grow faster and thereby raising the aggregate productivity of the U.S. economy. Far from costing the U.S. Treasury money, EXIM returned \$9.7 billion in profits over thirty years while keeping a default rate of just 0.3%. If France raised its export financing to the level of the most active European countries, it would gain a powerful lever, self-financed and at virtually no budgetary cost, to strengthen its competitiveness.

1 Export credit agencies: definition and the French situation

1.1 What export credit agencies do

In more than 90 countries, governments help their exporters finance their sales abroad through specialized institutions called **export credit agencies** (ECAs).¹

These agencies provide loans, guarantees, and insurance for export transactions that private banks cannot finance on their own. The logic is simple: international transactions involve longer payment cycles and higher default risks, and they bring foreign legal systems into play in the event of non-payment. Private lenders respond by rationing credit, preventing exporters from financing transactions that are nonetheless economically profitable.

This rationing creates room for government intervention, because governments do not substitute for private financing; they step in only where cross-border risk causes the private market to fail.

¹See Matray et al. [2025] for a discussion.

1.2 How the French export credit agency works

In France, this activity is carried out by Bpifrance Assurance Export (BPI-AE), previously managed by Coface until 2017. It operates as a “pass-through entity”: Bpifrance acts as agent for the French State, which carries all the risk on its own balance sheet, through the Treasury.² Unlike other countries, France does not run export financing through a single bank. Commercial banks extend the financing, BPI-AE provides the State guarantee or insurance, SFIL refinances the largest transactions, and the government bears the final risk.³

The main instruments are export credit insurance (covering non-payment risk and political risk, 87% of commitments by value), bonding and pre-financing guarantees, exchange-rate risk cover, and prospecting insurance for firms entering new markets.

BPI-AE already operates at real, but modest, scale compared with other countries: in 2024 it accepted 22 billion euros of new commitments from about 1,500 firms, of which 60% were first-time exporters, for a portfolio outstanding of 68.9 billion euros.⁴ This size must also be put in perspective, because it is driven by one particular sector: defense is by far the leading industry supported by Bpifrance Assurance Export, at about 40% of the portfolio (against 24% a decade ago).⁵

One might worry that the French model, in which commercial banks work in close symbiosis with Bpifrance, limits the scope for scaling up. The opposite is true: these established relationships between banks and BPI-AE are the channel through which larger volumes can flow, and the financing gap on cross-border transactions (guarantees abroad, political risk) exists regardless of a country’s banking structure.

The question that remains is whether this operating platform is being used to the extent that other developed countries use theirs.

1.3 France is falling behind its peers

The OECD collects financing data for the various ECAs, excluding military equipment and agricultural products. A comparison of official export credits shows that France is lagging (Figure 1).⁶

In 2023, France provided \$8.1 billion in new credits (0.77% of its exports), while Italy financed \$15.6 billion (2.00% of its exports) and all the Nordic countries financed more than 1% of their exports (Sweden: 1.27%; Norway: 1.13%; Denmark: 1.01%). Only Germany and Finland provide even less, at 0.64% and 0.47% of their exports respectively.

²The Direction générale du Trésor chairs the Guarantees Commission and holds final authority over all guaranteed transactions. See McCaffrey and Poitiers [2025], box 1, for a description of this institutional architecture.

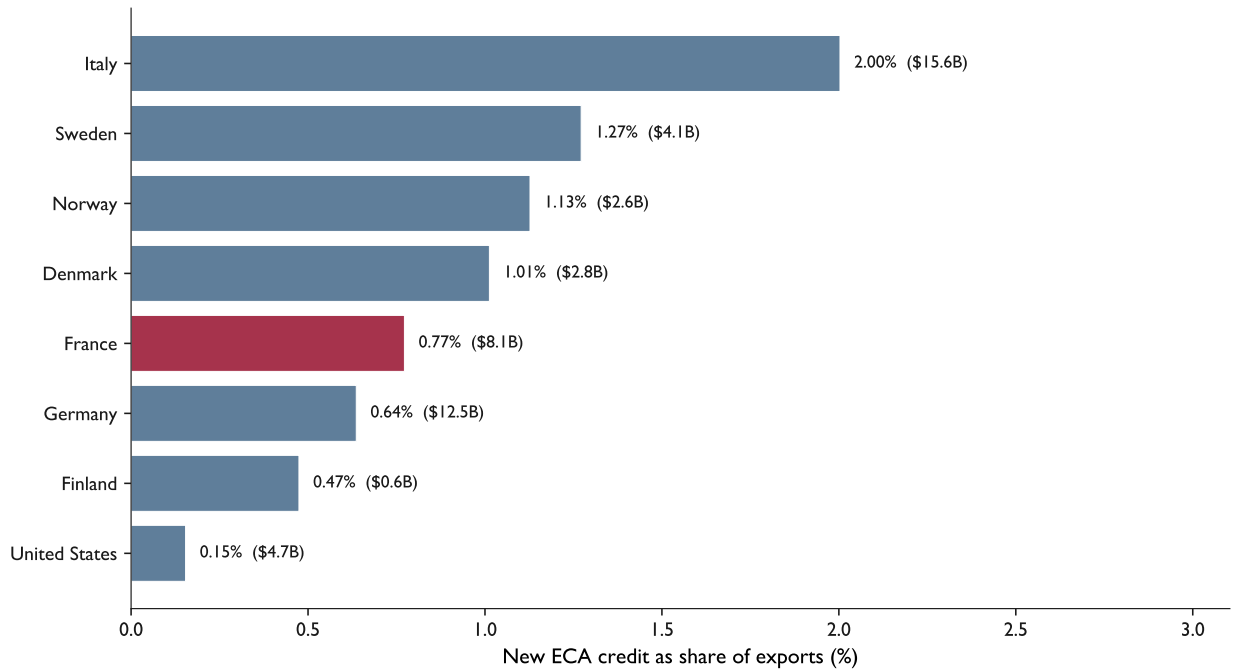
³SFIL (Société de Financement Local) is a public development bank created in 2013, 75% owned by the State, 20% by the Caisse des Dépôts, and 5% by La Banque Postale. Its initial mission was financing the local public sector (local authorities, hospitals). Since May 2015, the State has given it a second mission: refinancing the large export credits guaranteed by Bpifrance Assurance Export, for contracts above 70 million euros.

⁴Bpifrance Assurance Export, *Panorama 2024 de la Direction de l’Export*; SFIL, “Refinancement export”.

⁵Bpifrance Assurance Export, *Panorama 2024*, p. 21.

⁶Data drawn from Matray et al. [2026], compiled from the U.S. EXIM Bank competitiveness report.

Figure 1: Export-credit support by country, as a share of exports (2023)

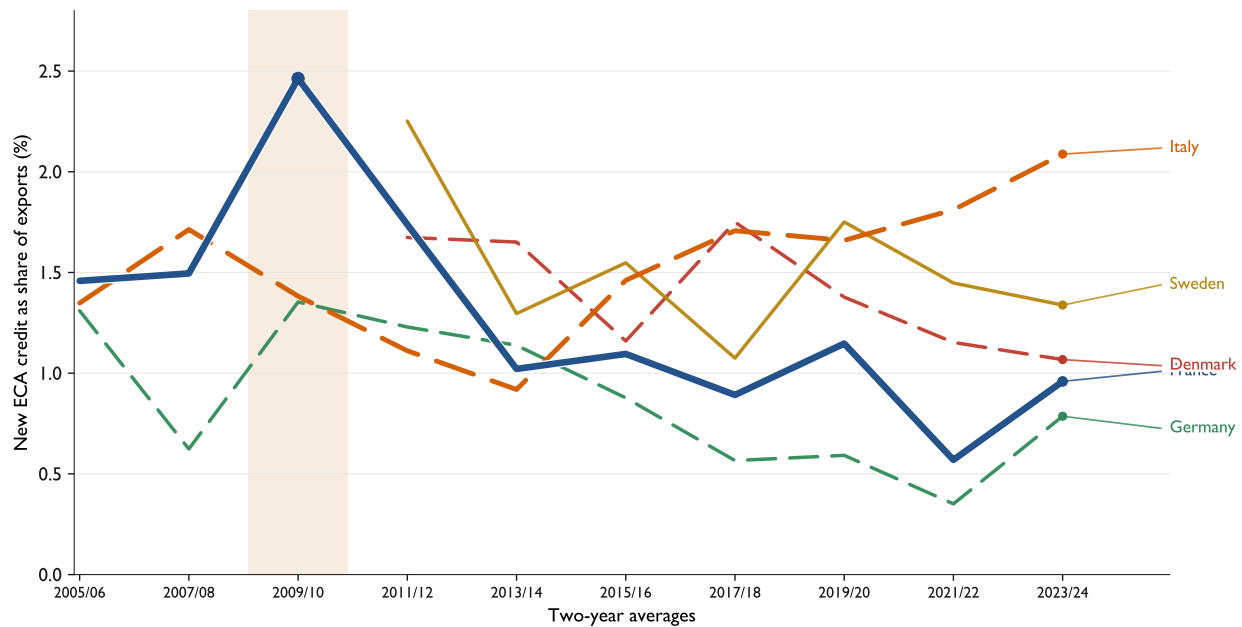


Notes: New official medium- and long-term export credits in 2023, as a share of goods exports. Data from the U.S. EXIM Bank competitiveness report, compiled in Matray et al. [2026]. OECD Arrangement data, excluding military equipment and agricultural products for all countries.

More worrying, this weakness is recent: the State has gradually disengaged since 2010 (Figure 2). France was in fact one of the most active countries in Europe during the 2008 financial crisis, with support reaching 2.46% of exports in 2009/10. Since then, French support has fallen back to 0.77% in 2023, while Italy moved in the opposite direction (from 1.35% in 2005/06 to 2.00%).

If France wanted to rival its transalpine neighbor, its ECA commitments would have to roughly triple, rising from about 13 billion to a range of 30 to 35 billion euros per year. The differences in export composition between France and Italy are relatively small and therefore cannot, on their own, explain this financing gap.

Figure 2: Export-credit support as a share of exports, 2005–2023



Notes: Two-year averages, from 2005/06 to 2021/22, with 2023 shown separately. Data from Matray et al. [2026]. Sweden and Denmark available from 2011. OECD Arrangement data, excluding military equipment and agricultural products.

The problem is not institutional; it is financial. France has a high-performing ECA, with a broad range of products, competent teams, and established relationships with commercial banks.

1.4 An architecture that is already sound

The French public export-credit system already includes the safeguards that prevent industrial favoritism and “political capture”.

- The agency cannot grow on its own: every guarantee commitment is carried by the Treasury, every significant transaction is approved by the Guarantees Commission, and surpluses are returned to the State rather than accumulating within Bpifrance.⁷
- France also applies a principle of *subsidiarity*: public guarantees may support only transactions that the private market would not otherwise finance.⁸
- This governance produces prudent management, verifiable in the numbers: the U.S. EXIM’s thirty-year average default rate is 0.30%; the claims rate on Bpifrance Assurance Export’s credit insurance was 0.20% in 2024.⁹

⁷See Mudde et al. [2023], box 1.

⁸DG Trésor, “Règles encadrant l’octroi d’un soutien public à l’export”.

⁹Matray et al. [2025], p. 4; Bpifrance Assurance Export, *Panorama 2024*, p. 22.

All of this explains why the French export-credit program returned a cumulative surplus of 6.86 billion euros to the State between 2010 and 2020.¹⁰

France already has a strong institution, capable of *financing itself*, and one that has shown in the past that it could manage commitments three times larger than current levels. All that is missing is the political will to give it that scale again.

2 Why do ECAs exist? Exporters are financially constrained

2.1 The export paradox: large firms that are more financially constrained

Exporters are, on average, larger and more productive than firms that sell only on the domestic market. At first glance, they would therefore seem unlikely to need public support. Why direct public resources toward firms that are already among the best performers in the economy?

The answer lies in the structure of trade finance. Exporting requires a substantial upfront investment: firms have to build distribution networks, adapt their products to foreign standards, and often extend credit to buyers amounting to 20% to 25% of the transaction.¹¹ In practice, for the transaction to take place, the exporter must finance a large upfront cost before being paid in full several months later. The collateral backing these transactions sits in a foreign country, subject to a legal system the lender does not control. If the buyer defaults, recovering the asset is far harder than in a domestic transaction. For exports to politically unstable countries, or to countries with weak legal institutions, the risk is higher still.

Private banks understand these risks and respond rationally: they ration credit for export transactions, particularly toward destinations where contract enforcement is uncertain. The result is a financing gap. Firms with viable products and interested foreign buyers cannot finance the transaction. The academic literature regularly shows that these constraints bind: exporters export less than their productivity would justify and are often *more* financially constrained than firms producing only for the domestic market.¹²

2.2 ECAs are not industrial favoritism

A common objection to export credit agencies is that they amount to “industrial favoritism”: taxpayer-funded subsidies directed toward large firms that have no need for public support. The objection seems reasonable at first, but the facts do not bear it out.

First, ECAs help productive firms. The U.S. evidence (section 3) shows that ECA support benefits productive firms that lack adequate private financing more than others. When the U.S. Export-

¹⁰Bpifrance Assurance Export, *Panorama* 2024.

¹¹This follows mechanically from the fact that exports take, on average, 90 to 180 days, and sometimes more, to reach the foreign buyer.

¹²See, among others, the discussion in Matray et al. [2025] and the references therein.

Import Bank was shut down between 2015 and 2019, the firms most affected were the financially constrained, highly profitable exporters, while firms with easy access to private credit were barely affected.¹³

Second, ECAs finance themselves. The OECD-country ECAs that report their data are, on average, profitable, with low default rates. France is no exception: claims in 2024 amounted to only 0.20% of the portfolio, and the program regularly returns surpluses to the State (subsection 1.4).¹⁴ The “industrial favoritism” label is particularly misleading in the French case. More than half of BPI-AE’s credit insurance files in 2024 involved SMEs, and 60% of the firms supported were first-time exporters.¹⁵

3 ECAs work: the U.S. case

3.1 Why the United States is the most demanding test

The United States has the deepest and most liquid financial markets in the world. If any country’s exporters could do without public trade finance, it should be American firms. That makes the United States the most demanding test of whether ECAs have a real impact: if they produce sizeable effects where private alternatives are abundant, the effects would be even larger for countries with less developed financial markets, such as France.

3.2 The U.S. Export-Import Bank and its shutdown

The *Export-Import Bank* of the United States (EXIM), created in 1934, provides direct loans, loan guarantees, and export credit insurance to support U.S. exporters.¹⁶ In mid-2015, a standoff between a Republican-majority Senate and the Obama administration blocked the renewal of EXIM’s charter. For four years, until mid-2019, the bank could not approve new major transactions. This shutdown resulted from a purely political deadlock, not from economic difficulties at the bank: the affected firms had nothing to do with it, which makes it possible to measure the effects cleanly. During this interruption, the total value of new trade financing fell by 84%.¹⁷

3.3 Large effects on exports, revenue, and employment

The episode lets us isolate the real effects of export credit agencies, by comparing EXIM-dependent exporters with comparable firms that did not rely on this financing.¹⁸

¹³Matray et al. [2025], Figure 6 and Table 6.

¹⁴Bpifrance Assurance Export, *Panorama* 2024.

¹⁵Bpifrance Assurance Export, *Panorama* 2024, p. 34–39.

¹⁶See Matray et al. [2025] for a detailed description of EXIM’s operations.

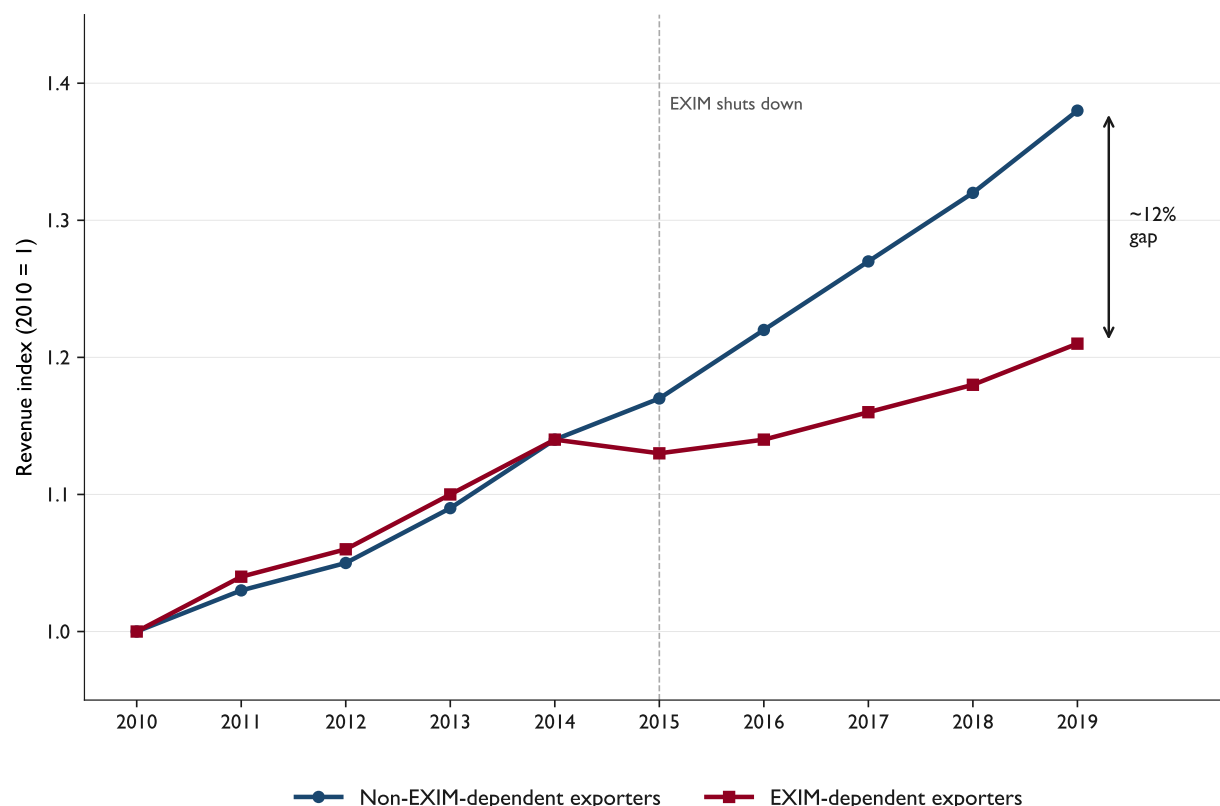
¹⁷Matray et al. [2025], Section III.

¹⁸The analysis in this section draws on Matray et al. [2025].

Exports. Using customs data, Matray et al. [2025] estimated that a one-dollar reduction in EXIM support led to a decline in U.S. exports of about \$4.50. This multiplier is large but consistent with the heavy trade-finance needs discussed above.

Revenue. Before 2015, the revenues of EXIM-dependent and non-dependent exporters moved similarly. After the shutdown, their trajectories clearly diverged (Figure 3): by 2019, the revenue of EXIM-dependent firms was 12% lower than that of comparable non-dependent exporters.¹⁹

Figure 3: Revenue of EXIM-dependent and non-dependent exporters



Notes: Stylized illustration of the revenue trajectories of EXIM-dependent exporters and comparable non-dependent exporters, based on the estimates published in Matray et al. [2025], Figure 5: a gap of about 12% in 2019.

Investment and employment. The effects go well beyond export revenue. EXIM-dependent firms invested 14% less and hired 10% less than comparable exporters.²⁰

Better capital allocation. When EXIM was shut down, the most productive firms with insufficient access to private financing cut their investment by about 19%, while less constrained firms barely reacted.²¹ This larger slowdown among more productive firms implies a worse allocation of capital, and ultimately a decline in aggregate productivity.

¹⁹Matray et al. [2025], Figure 5.

²⁰Matray et al. [2025], Table 4.

²¹Matray et al. [2025], Figure 6.

Why did the private sector not take over? Private banks know foreign buyers poorly and can hardly enforce their contracts beyond their borders, particularly for exports to countries with weaker institutions. These difficulties lead banks to ration credit structurally. Consistent with this interpretation, the effects of the shutdown were about twice as large for exports to high-risk destinations.²²

3.4 Implications for France

If ECAs produce these effects in the United States, with the deepest financial markets in the world, the benefits in France should be at least as large. French firms face tighter credit conditions and operate in a financial system that is more dependent on the banking sector. The institutional channel already exists; what is missing is scale.

4 Recommendation: increase French export financing

The facts presented in this note lead to a simple recommendation: **France should finance its commercial exports at the level of the most active European countries.**

In practice, this means roughly tripling French non-defense export-credit commitments, rising from about 13 billion to a range of 30 to 35 billion euros, which would bring France in line with Italy's export-financing intensity (excluding defense spending). France's defense export credits, about 28 billion euros in outstanding commitments, remain separate. The institutional infrastructure does not need to be built from scratch; it simply needs to scale up. This tripling requires loosening no safeguard, not even the subsidiarity principle: the structural rationing of private credit documented in [section 2](#) shows that eligible demand already exists; the State would finance only what the market refuses today.

This proposal is particularly attractive from a budgetary standpoint. ECAs do better than finance themselves: the U.S. and French experiences show that premiums comfortably cover claims, generating net revenue for the State in most years (\$9.7 billion returned to the U.S. Treasury over thirty years²³). Default rates are durably low (0.30% for the U.S. EXIM, 0.20% for BPI-AE in 2024). The economic multiplier is large: each dollar of ECA support generates on the order of \$4 to \$5 in exports, and ECAs disproportionately help productive, financially constrained exporters.

France already has the institutional capacity to close this gap. Bpifrance Assurance Export has the expertise, the product range, and the operational infrastructure. The Guarantees Commission and the Direction générale du Trésor provide the governance framework. What is needed is a political decision to expand the volume of guaranteed commitments, supported by the demonstration that this expansion will finance itself.

²²Matray et al. [2025], Table 5.

²³Matray et al. [2025], p. 4.

Export credit agencies are one of the most effective and least costly policy levers for strengthening French competitiveness. France should use them.

The opinions expressed here are those of the author(s) and do not represent the views of the Federal Reserve Bank of Atlanta or the Federal Reserve System.

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